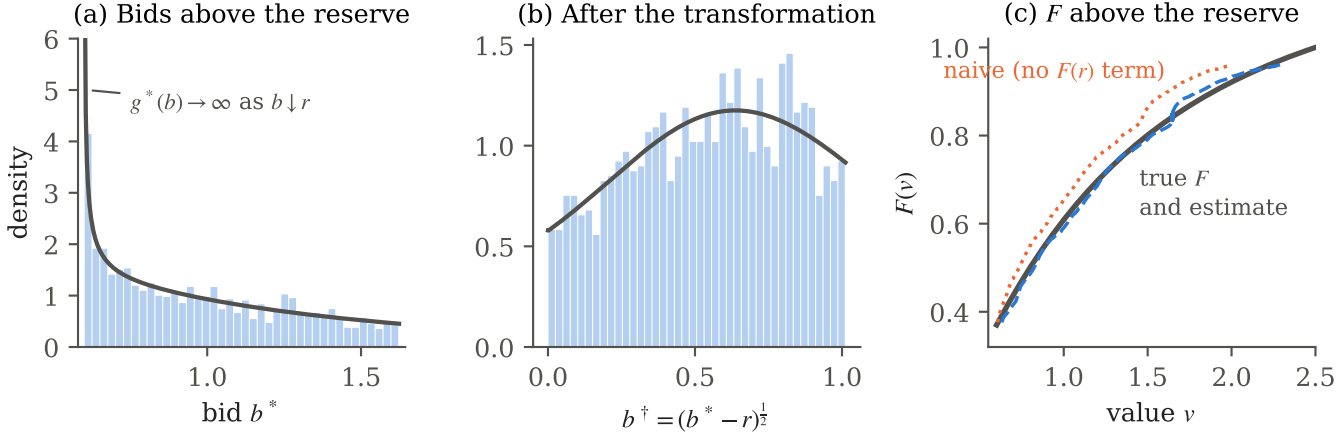
(a) Bids above the reserve
density
$g^*(b) \to \infty$ as $b \downarrow r$
bid b^*
(b) After the transformation
$b^\dagger = (b^* - r)^{\frac{1}{2}}$
(c) F above the reserve
$F(v)$
naive (no $F(r)$ term)
true F
and estimate
value v